Meanwhile, the two major depositories, the Central Depository Services Limited (CDSL) promoted by the BSE and National Securities Depository Limited (NSDL) by the NSE, were developing the infrastructure to support this transition. As early as 2012, they introduced low-cost demat accounts with waived or capped charges for small investors. Later innovations, such as e-KYC and Aadhaar-based instant account-opening, reduced onboarding time from weeks to minutes.

On the policy front, SEBI's 2017 reforms mandating a two-day settlement cycle after each trade (known as T+2); launch of direct mutual funds, wherein individuals could make investments without involving a broker or financial advisor; and the 2018 push for digital Power of Attorney (PoA) further lowered costs and friction for retail participants.

ENABLING ENVIRONMENT

The explosion of smartphones in small towns and rural India, which coupled with ultra-low mobile data costs, opened up financial markets to millions. Alongside, a new crop of app-based discount brokerages, like Zerodha, Upstox, Groww and INDmoney, handheld the investors. With zero brokerage fee, intuitive design and seamless onboarding, these platforms made it possible for a layperson to trade stocks, invest in MFs or apply for IPOs with just a few taps. "Earlier, participation in the stock market was seen as an exclusive club of a few, accessible only to the wealthy and well-connected. Technology has shattered these barriers, making investing accessible to everyone," says Ambareesh Baliga, an independent capital market expert. By March 2025, these four firms, along with Angel One, had over 32 million active clients, collectively cornering three-fourths of India's retail broking market (see *The D.I.Y. Revolution*).

The democratisation of financial knowledge has been another quiet but powerful force behind the rise of retail investing. From government-backed campaigns to private sector initiatives, financial literacy has become a national priority. SEBI's Investor Education and Protection Fund (IEPF) has scaled campaigns to reach over 70 million citizens through workshops, radio and OTT content. CDSL's MyFirstIPO and SMART programmes have onboarded more than 1.2 million first-time investors since 2022, while NSDL's 'Market ka Eklavya' initiative takes stock market education to schools and colleges in semi-urban and rural India. "The true catalyst for growth has been the retail

TRADING APPS & FINFLUENCERS

The D.I.Y. Revolution

Fintech platforms and social media voices are democratising India's stock market, ushering in a do-it-yourself era of investing for millions

A quiet revolution has reshaped India's financial landscape over the past five years. What began during the Covid-19 lockdown as a digital detour for bored young Indians has morphed into a full-fledged retail investing movement, fuelled by smartphone apps and financial influencers. Together, they've turned stock trading from a specialist's game into a mass-market phenomenon—one that's aspirational, but increasingly risky too.

At the heart of this transformation are apps like Zerodha, Groww, Upstox, INDmoney and Angel One, which offered what banks and traditional brokers didn't: instant eKYC and UPI-based transactions on slick, mobile-first interfaces. Groww's clean, no-jargon design attracted millennials and first-time investors in Tier 2 and 3 cities, while Zerodha, which bootstrapped its way to prominence, offered a suite of tools that found favour with more serious traders. INDmoney distinguished itself by bundling investments, credit tracking and global stocks in one app. Upstox, backed by Tiger Global, leveraged aggressive zero-commission trading models and high-decibel marketing. Angel One, rebranded from Angel Broking in 2021, tapped into regional markets by offering local language support and targeting rural investors. By March 2025, these firms had over 32 million active clients, collectively cornering three-fourths of India's retail broking market.

It wasn't just technology that fuelled the trading boom. Platforms embedded investor education into the experience—through IPO trackers, stock explainers, risk alerts—and tapped a new



"INDIA IS NOW A NET EXPORTER OF CAPITAL. OUR DEPENDENCE ON FPI FLOWS HAS REDUCED SIGNIFICANTLY, THANKS TO RISING DOMESTIC PARTICIPATION"

NILESH SHAH, *MD, Kotak Mahindra Asset Management*